

# Unit 7: Organizational Change and Development

**BCA 5<sup>th</sup> Semester**

**Assigned Weight: 5 Lecture Hours**



# Organizational Change

## Concept

**Organizational change is the process by which organization move from their present state to some desired future state to increase effectiveness.** When an organization system is disturbed by some internal or external forces change frequently occur or any alteration which occur in the overall work environment of an organization.

It is an essential process that drives meaningful transformations within a company or institution. It involves making significant modifications to various aspects of the organization, including its structure, culture, processes, systems, strategies, and personnel. The goal is to enhance performance, effectiveness, and adaptability, ensuring the organization remains competitive in a dynamic business environment. Organizational change can be triggered by internal or external factors and is guided by the need to foster growth and success. **It encompasses diverse areas such as restructuring, cultural evolution, process optimization, technological advancements, strategic realignment, and people-centric initiatives.** Implementing successful organizational change requires **meticulous planning, inspiring leadership, and active engagement from stakeholders.** By embracing change as a constant, organizations can navigate challenges, seize opportunities, and pave the way for sustained success



# Nature of Organisational Change

1. Continuous:

2. Complex:

3. Multidimensional:

4. Disruptive:

5. Contextual:

6. Strategic:



## Nature of Organisational Change

The nature of organisational change is inherently dynamic and multifaceted. It encompasses several key characteristics that define its nature and impact on an organisation some of them are:

**1.Continuous:** Organisational change is an ongoing process rather than a one-time event. It recognises that organisations must continually adapt, evolve, and improve to remain relevant and competitive in a rapidly changing business environment.

**2.Complex:** Organisational change is complex due to the interplay of various factors, such as organisational structure, culture, processes, technology, and human dynamics. It involves multiple stakeholders, intricate relationships, and interconnected elements that require careful consideration and management.

**3.Multidimensional:** Organisational change affects various dimensions of an organisation simultaneously. It can impact the [organisational structure](#), culture, strategy, processes, systems, technology, and even individual roles and responsibilities. Change initiatives often require a holistic approach that considers the interdependencies among these dimensions.

**4.Disruptive:** Change disrupts the status quo within an organisation. It challenges existing routines, practices, and mindsets. It can create uncertainty, resistance, and discomfort among employees, requiring effective change management strategies to minimise negative impacts and facilitate a smooth transition.

**5.Contextual:** The nature of organisational change is shaped by the unique context of each organisation. Factors such as industry dynamics, market conditions, regulatory requirements, and internal capabilities influence the nature and scope of change initiatives. What works for one organisation may not necessarily work for another.

**6.Strategic:** Organisational change is often driven by strategic considerations. It aligns with the organisation's vision, goals, and long-term objectives. Change initiatives are typically designed to improve performance, enhance competitiveness, foster innovation, capitalise on opportunities, or address challenges that impact the organisation's strategic position.

## **Forces for Organisational Change**

The changes stem from several factors or sources. Some of these are external forces that arise outside the organisation, whereas others are internal, arising from sources within the organisation.

Various factors leading to or influencing organisational change are as follows:

### **1.External Forces**

### **2.Internal Forces**

#### **1) External Forces**

External forces include the following factors:

##### **1.Technology**

##### **2.Marketing Conditions**

##### **3.Social Changes**

##### **4.Political Forces**

##### **5.Globalisation**

##### **6.Workforce Diversity**

##### **7.Changing Economic Conditions**

#### **2) Internal Forces**

Internal forces include the following:

##### **1.Changes in Managerial Personnel**

##### **2.Changes in Operative Personnel**

##### **3.Deficiencies in Existing Structure**

##### **4.Changes in Employee Expectations**

##### **5.Changes in Work Climate**

## **1) External Forces**

### **i) Technology**

It is a major external force that calls for change. Computer technology and automation have made a remarkable impact on the functioning of organisations in recent times. Technological advancement is thus a permanent fixture in the business world and it continues to demand a manager's attention as a pressure for change.

### **ii) Marketing Conditions**

[Marketing](#) conditions are not static. They are in the process of rapid change as the desires, needs, and expectations of the customers change frequently. Moreover, there is tough competition between suppliers and manufacturers in the market. New [media](#) of [advertisement](#) and advertising are being used to influence buyers. All these factors put great pressure on modern organisations to change their technologies and marketing strategies.

### **iii) Social Changes**

Because of the spread of education, knowledge explosion and government efforts, social changes are taking place at a fast speed. The aim for social equality has posed new challenges for [management](#). The [management](#) has to follow social [norms](#) in shaping its [marketing](#), employment, and other [policies](#).

### **iv) Political Forces**

Political forces that lie outside and inside the country have an important influence on large business houses, particularly [multinational companies](#). The interference of government in business has risen tremendously in most countries. Many laws have been passed to control the movements of the corporate sector. The organisations have no control over the political and legal forces, but they have to adapt to meet the pressure of these forces.

### **v) Globalisation**

In today's open market economy, the power players are multinationals or transactional in every country across the globe. This has undeniably raised the level of competition for every concerned party. Now to survive and remain afloat, an organisation will have to compete not only with orders in its own country but also with the best ones from the world.

### **vi) Workforce Diversity**

It is quite apparent that the composition of today's [workforce](#) has changed significantly over the past few years. Today we find more females reporting to work than before. All around, the level of education is higher.

The average age of individuals working also varies a great deal with more and more people joining the workforce after retiring from their previous occupations as well as with a sizable portion coming from the student sections.

### **vii) Changing Economic Conditions**

The constantly changing economy has been very challenging for organisations in recent years. The worldwide recession in the 90s required the laying of work in almost every organisation.

Though for a brief period in the late nineties, there was some improvement in the [economy](#), the recent years are again experienced a downward trend. All these have forced organisations to change their ways of functioning.

## **2) Internal Forces**

Changes in organisations are quite fast when executives at the top change. No two executives have the same philosophy and style. The new executive will follow his style and will like to put into practice his ideas and philosophy.

This may lead to important changes in the organisation in terms of organisation design, allocation of work to individuals, [delegation of authority](#), installation of controls, etc.

### **ii) Changes in Operative Personnel**

The profile of the workforce is changing fast. The new generations of workers have better educational qualifications, place greater emphasis on human [values](#) and question the authority of managers. Their behaviour is very complex and leading them to organisational goals is a challenge.

### **iii) Deficiencies in Existing Structure**

Changes may be needed to make up for deficiencies in the present organisational setup. These deficiencies may be in the form of the unmanageable [span of management](#), a larger number of managerial levels, lack of [coordination](#) among various departments, [Barriers To Communication](#), lack of uniformity in policy decisions, and so on.

### **iv) Changes in Employee Expectations**

It can also trigger a change in organisations. An organisation that hires a group of young newcomers may be met with a set of expectations very different from those represented by senior workers. The workforce is more educated than ever before.

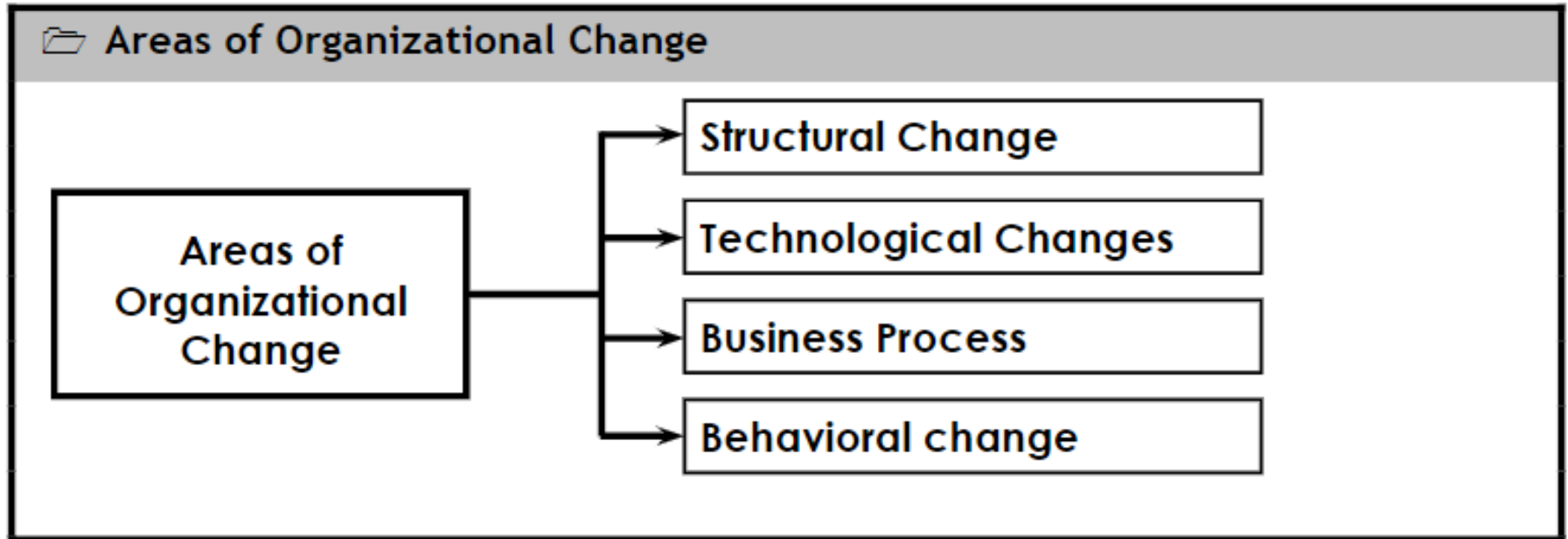
Although this has its advantages, employees with higher education demand more from employers. The new generation workforce nowadays is not only career-minded. Rather they are more concerned with their family and career balance issues, thus often favouring flexitime or opportunities to work at their own pace.

### **v) Changes in Work Climate**

Changes in the work climate in an organisation also stimulate change. A workforce that seems unmotivated, lethargic, and dissatisfied is a symptom that must be addressed. This kind of symptom is common in organisations that have experienced layoffs.

Employees who have escaped a layoff may grieve for those who have lost their jobs and may find it challenging to continue to be productive. They may worry that they will be laid off as well and may feel insecure in their jobs

# Paradigm Shift/Area in Organizational Change





# Paradigm Shift/Area in Organizational Change

Robbins and his colleagues have explained four major categories of change options. They are:

- a. **Changing structure:** This option of change involves making a change or modification in authority-responsibility relationships, coordination mechanism, job redesign, or similar structural variables.
- b. **Changing technology:** This option of change covers modifications in the way the work is processed and in the methods and equipment used.
- c. **Changing the physical settings:** This option covers changing the space and layout arrangements in the workplace.
- d. **Changing the people (behavior):** Peoples' behavior refers to changes in their attitudes, skills, expectations, perceptions, and/or behavior.

# Resistance to Change

It is the general tendency (habit) of human being to resist change, no matter how much beneficial the program is. It is always difficult to implement change program. Almost all organizational change efforts face one or more forms of resistance to change. The resistance may be overt as well as covert (exposed and hidden). It may further be individual or organizational.

Resistance to change is unwillingness to adapt to new circumstances or ways of doing things. It can happen with individuals, relationships, or within organizations. There are many reasons for resistance, but at its heart, resistance is rooted in fear of the unknown.

MANAGERS

VS.

EMPLOYEES



# Resistance to Change

## Individual Resistance to Change

- **Fear of the Unknown:** People often resist change because it introduces uncertainty. They may fear losing their job, altering their routine, or facing new challenges they are not prepared for.
- **Lack of Trust:** If individuals do not trust the change initiators or the rationale behind the change, they are more likely to resist.
- **Loss of Control:** Changes can make individuals feel that they are losing control over their environment or job functions, leading to resistance.
- **Bad Timing:** If changes are introduced at a time when employees are already stressed or overburdened, resistance is likely to be higher.
- **Comfort with Status Quo:** People tend to stick to what they know because it is familiar and comfortable. Change requires effort and adaptation, which can be daunting.
- **Personal Impact:** If individuals believe the change will negatively affect them personally, such as through increased workload or reduced job security, resistance is likely.

## Organizational Resistance to Change

- **Structural Inertia:** Organizations have established processes and structures that are difficult to alter. The more entrenched these are, the harder it is to implement change.
- **Group Inertia:** Even if individuals are willing to change, group norms and dynamics can create resistance. Peer pressure can reinforce the status quo.
- **Threat to Expertise:** Changes, especially those involving technology, can threaten the expertise of certain groups within an organization. This can lead to resistance from those who feel their skills are becoming obsolete.
- **Resource Constraints:** Implementing change often requires significant resources (time, money, personnel). Organizations may resist change if they perceive they lack the necessary resources.
- **Cultural Barriers:** An organization's culture can be a significant barrier to change. If the change conflicts with the core values and beliefs of the organization, resistance will be strong.
- **Poor Change Management:** If the process of change is not managed well, with inadequate communication, support, and involvement from employees, resistance will likely be high.

## Overcoming Resistance to Change

- **Effective Communication:** Clearly communicate the reasons for the change, the benefits, and the impact it will have on individuals and the organization. Transparency is key.
- **Participation and Involvement:** Involve employees in the change process. When people feel they have a say in how changes are implemented, they are more likely to support them.
- **Support and Training:** Provide the necessary support and training to help employees adapt to the change. This can reduce fear and build confidence.
- **Leadership and Vision:** Strong leadership is crucial. Leaders should demonstrate a clear vision and commitment to the change, serving as role models.
- **Gradual Implementation:** Implement changes gradually where possible. This allows time for adaptation and reduces the shock and resistance that can come with sudden changes.
- **Addressing Concerns:** Listen to the concerns and fears of those affected by the change and address them proactively. Showing empathy and understanding can reduce resistance.
- **Reward and Recognition:** Recognize and reward those who embrace and support the change. Positive reinforcement can encourage others to follow suit.

# Organizational Development:

- **Organization development (OD)** is an effort that focuses on improving an organization's capability through the alignment of strategy, structure, people, rewards, metrics, and management processes.
- **Organizational development** is a planned, systematic change in the values or operations of employees to create overall growth in a company or organization. It differs from everyday operations and workflow improvements in that it follows a specific protocol that management communicates clearly to all employees.

Organizational development (OD) is a long-run plan to change the behavioral attitudes and performance of the organization. It is a process of improving organizational efficiency through [planned change](#). Its foremost aim is to advance the overall working performance of the [organization](#). The OD model values human and organizational growth and collaborative and participative processes.

## Organizational Development:

Organizational change and development can be a long, sometimes overwhelming process, but companies usually begin with several goals in mind:



**Source:** *Houston Chronicle*

# Process of Organizational Development:

The organizational development process is a systematic, research-based series of steps. Common implementation steps include the following:

- Identifying an area of improvement.
- Investigating the problem.
- Creating an action plan.
- Creating motivation and a vision.
- Implementing.
- Evaluating initial results.
- Adapting or continuing.